

diversification is in itself a pragmatic repudiation of the fetish of “selectivity,” to which Wall Street constantly pays lip service.*

TABLE 11-2 The Dow Jones Industrial Average

(The Value Line’s Forecast for 1967–1969 (Made in Mid-1964) Compared With Actual Results in 1968)

	<i>Earnings</i>		Price	Price	Average
	Forecast	Actual	June 30	Forecast	Price
	1967–1969	1968 ^a	1964	1967–1969	1968 ^a
Allied Chemical	\$3.70	\$1.46	54½	67	36½
Aluminum Corp. of Am.	3.85	4.75	71½	85	79
American Can	3.50	4.25	47	57	48
American Tel. & Tel.	4.00	3.75	73½	68	53
American Tobacco	3.00	4.38	51½	33	37
Araconda	6.00	8.12	44½	70	106
Beckham Steel	3.25	3.55	36½	45	31
Chrysler	4.75	6.23	48½	45	60
Du Pont	8.50	7.82	253	240	163
Eastman Kodak	5.00	9.32	133	100	320
General Electric	4.50	3.95	80	90	90½
General Foods	4.70	4.16	88	71	84½
General Motors	6.25	6.02	88	78	81½
Goodyear Tire	3.25	4.12	43	43	54
Internat. Harvester	5.75	5.38	82	63	69
Internat. Nickel	5.20	3.86	79	83	76
Internat. Paper	2.25	2.04	32	36	33
Johns-Manville	4.00	4.78	57½	54	71½
Owens-Ill. Glass	5.25	6.20	99	100	125½
Procter & Gamble	4.20	4.30	83	70	91
Sears Roebuck	4.70	5.46	118	78	122½
Standard Oil of Cal.	5.25	5.59	64½	60	67
Standard Oil of N.J.	6.00	5.94	87	73	76
Swift & Co.	3.85	3.41 ^b	54	50	57
Texaco	5.50	6.04	79½	70	81
Union Carbide	7.35	5.20	126½	165	90
United Aircraft	4.00	7.65	49½	50	106
U.S. Steel	4.50	4.69	57½	60	42
Westinghouse Elec.	3.25	3.49	30½	50	69
Woolworth	2.25	2.29	29½	32	29½
Total	138.25	149.20	2222	2186	2450
DJIA (Total % 2.67)	52.00	56.00	832	820	918 ^c
DJIA Actual 1968	57.89				966 ^c
DJIA Actual 1967–1969	56.26				

^a Adjusted for stock-splits since 1964.

^b Average 1967–1969.

^c Difference due to changed divisor.

Factors Affecting the Capitalization Rate

Though average future earnings are supposed to be the chief determinant of value, the security analyst takes into account a number of other factors of a more or less definite nature. Most of these will enter into his capitalization rate, which can vary over a wide range, depending upon the “quality” of the stock issue. Thus, although two companies may have the same figure of expected earnings per share in 1973–1975—say \$4—the